

Contracts
1464-Eight, Ltd v. Joppich
154 S.W.3d 101 (2004)

Keyword Subject

Breach of Contract, Consideration

Facts

The two parties entered an option contract in which Plaintiff (1464) sold Defendant (Joppich) a piece of land with the option for Plaintiff to purchase the property back at 90% the price if Defendant failed to build a residential property on the land within 18 months. The contract stated that consideration for the option was a \$10 fee to be paid by Plaintiff to Defendant. However, that fee had never been paid (as is at least somewhat common). When, after 18 months, Defendant had failed to build a property, Plaintiff tried to exercise this option Defendant refused citing the failure to pay the consideration fee.

Procedural History

Defendant requests Declaratory Judgement against Plaintiff (Failed)

Plaintiff files counter-claim

Trial Court: In favor of Plaintiff

Appeals: In favor of Defendant

Supreme: In favor of Plaintiff (Reversed and remanded)

Issue

Should the Second Restatements input on considerations be adopted in Texas?

Does false recital constitute a valid consideration for an option contract?

Holding: No and Yes; Reversed and Remanded

Principle

False recital does constitute consideration for an otherwise valid and enforceable contract.

Reasoning

Separate Opinions

Chief Justice Jefferson: Concurring; The idea that false recital is enough to constitute consideration should indicate that consideration might be a thing of the past. If not including a clause in the contract

Notes